



IoT Driving Mega Growth For Semiconductors

IoT Analytics recently released an interesting study of the IoT semiconductor market, which claims that semiconductors are strongly outperforming other segments within the technology sector. And it is all thanks to IoT! We share key extracts of the report and of the interview we did with Satyajit Sinha—a key force behind this report

EFY Bureau

The Philadelphia Semiconductor Index, which tracks the value of the thirty largest semiconductor firms globally, has increased by a factor of 5x in the last five years (from US\$80 in January 2016 to US\$416 in January 2021). The index not only easily beats the high-flying Nasdaq index (which increased by a factor of 2.8 in the same timeframe) but also other technology indices, such as cloud computing (the SKYY Index increased 3.5x in the same period).

Most notably, the industry has profited from the need for more and higher-value semiconductor components for several newly emerging technologies. Key drivers include big data analytics, mobile communication, gaming, connected and semi-autonomous

cars, and, to a large degree, the fast growth of connected Internet of Things (IoT) devices.

The number of active IoT device connections are estimated to have grown from 3.6 billion in 2015 to 11.7 billion in 2020. By the end of 2025, a total of 30 billion IoT connections is being forecast. The rise of the IoT semiconductor market is broad and touches most industry segments, including industrial, automotive, energy and utilities, and healthcare. Consumer IoT devices, such as smartwatches and smaller wireless accessories, have seen a particularly high demand in recent years, which has prompted several companies that were not making IoT devices a few years ago to move into the IoT ecosystem, including many smartphone makers.

Fig. 1: Increase in demand for IoT semiconductors

